Eoptolink (300502.SZ)

Current edition | Company valuation methods and portfolio Base scores preserved.

CURRENT EDITION - 1 October 2026 | Framework 8.0

Full investment research, current probability-weighted operating model and analytical rescore. Financial assumptions, source evidence and forward estimates are distinguished throughout.

Q4 2027 ceiling

Current model item	Value
Q4 2027 ceiling	562.3951 CNY/share
Valuation window	Q4 2027 to Q3 2028
Artifact analytical Base	70/100
Protected portfolio Excel Base	70/100

Partial pass-through of higher qualified-component costs slightly reduces operating profit in the existing advanced-product pool. Existing demand and market share are retained.

The sanctioned valuation remains **20x forward-four-quarter operating profit**, with the existing accounting basis, ownership, shares and currency conversion. The active ceiling next rolls on January 1, 2027.

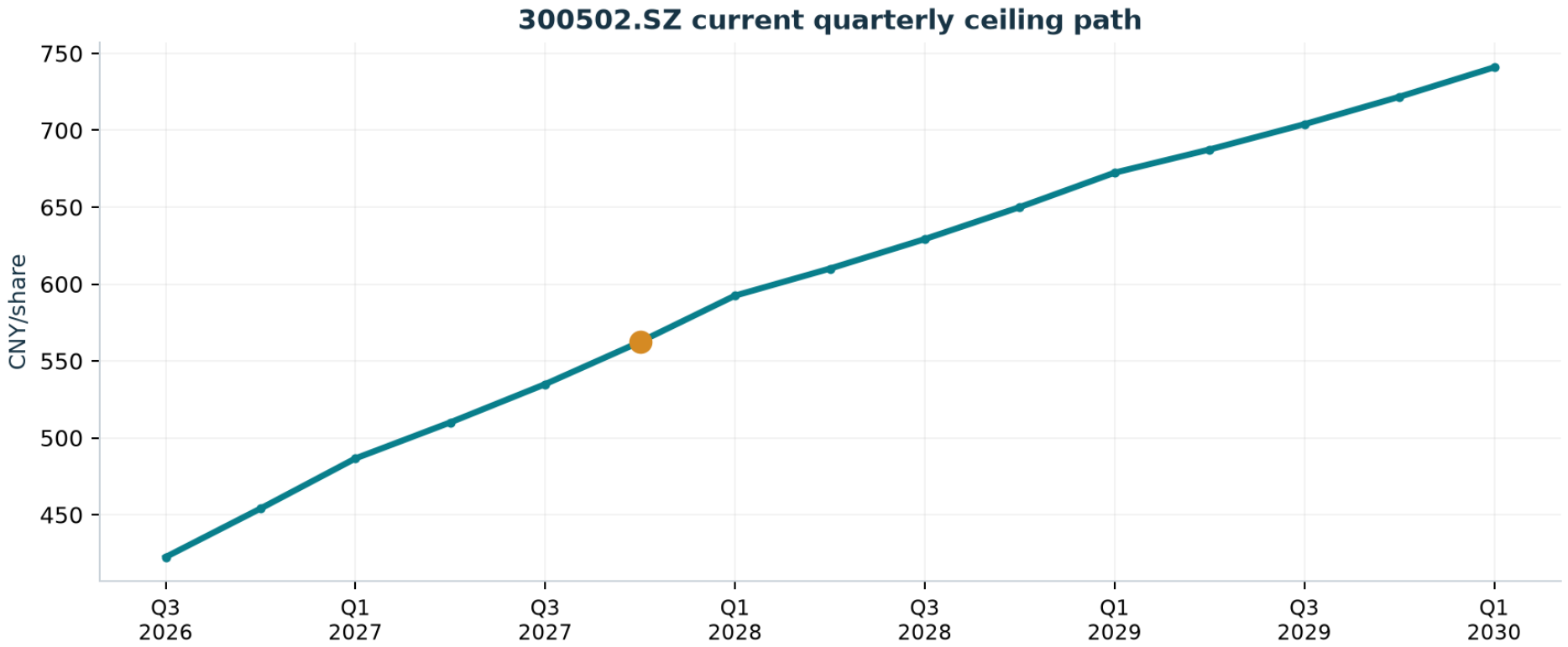


Figure 1. Current quarterly ceilings, CNY/share. Gold marks the active Q4 2027 horizon. The 40% policy contribution is included once in operating earnings.

Ceiling quarter	Current ceiling CNY/share
Q3 2026	422.4655
Q4 2026	454.0223
Q1 2027	486.5985
Q2 2027	510.0332
Q3 2027	534.9061
Q4 2027	562.3951
Q1 2028	592.4448
Q2 2028	610.0302

Ceiling quarter	Current ceiling CNY/share
Q3 2028	629.2201
Q4 2028	650.0088
Q1 2029	672.3965
Q2 2029	687.4721
Q3 2029	703.9179
Q4 2029	721.7340
Q1 2030	740.9203

Analytical Base and scored conviction

Category	Score	Evidence and limit
Core Thesis	16/20	High-volume qualification, LPO and multi-architecture engineering; competing suppliers exist.
Cycle Stage	9/10	800G volume plus accelerating H2 1.6T; 2027 NPO preparation.
TAM Expansion	7/10	Expanded module market; new optical forms mostly share the same customer wallet.
Catalysts	4/5	H2 supply conversion; Chengdu/Thailand ramps; H2 2027 NPO deliveries.
Macro	9/10	AI capex and networking content; procurement policy uncertainty.
Alpha	2/5	Chinese management records clarify supply and timing; widely followed company.
Risks	-5	Competition; execution/cash; concentration; policy/FX; governance/related-party supply.
Total	42/60 = 70/100	Watchlist; price-independent analytical thesis score

Artifact analytical Base: 70/100. Protected portfolio Excel Base: 70/100. The portfolio value is a separate retained decision; it is not a scoring-table input.

Advanced-module demand remains attractive alongside procurement and supply-chain uncertainty. Partial pass-through of qualifying-component inflation affects the operating forecast. Existing policy/FX and supplier/governance risks remain, with no separate score deduction for the same modeled cost effect.

Base measures thesis quality. The 40% policy probability weights only the incremental operating economics, once; neither Base nor the policy weight is applied again to the final ceiling. Scores use integer category points on the /60 framework lattice.

Policy breadcrumb and economic hypothesis

Serenity's October 1 post attributes Washington meetings to Morgan Stanley and reports a possible 3.2T-focused restriction, with a potential 65% U.S.-value route for Chinese modules. The source expects laser pricing to matter more than broad module-share redistribution. Treat this as an attributed policy scenario; the original MS note and final FCC language establishing these exact terms were not recovered. The separate September 25 Senate proposal concerns sensitive federal systems and a five-year transition. It is not confirmation of these FCC terms.

Serenity policy post | Foundry follow-up | Separate Senate proposal

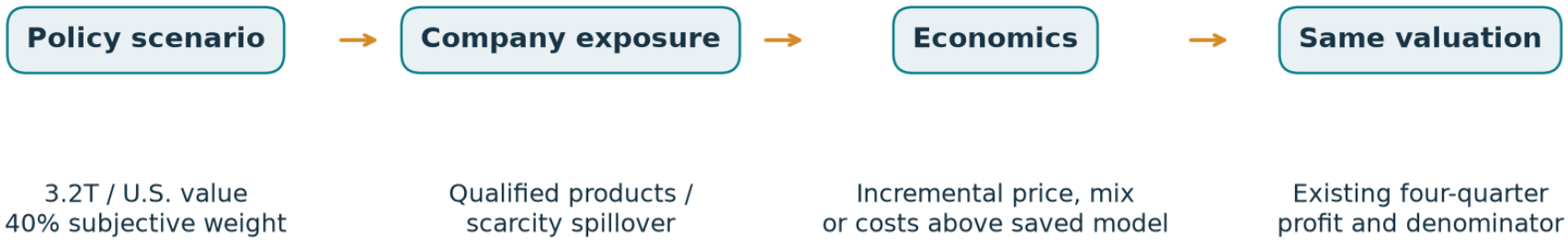


Figure 2. Analytical transmission of the attributed policy scenario. This is a model diagram, not an official regulatory diagram or customer award.

Assigned common policy-scenario probability: 40%. Subjective initial weight above the single-source 25-35% band because Serenity has the owner's highest weighting and attributes Washington meetings to Morgan Stanley. The exact future rule, timing and economic effect remain uncertain. Serenity and Morgan Stanley are one source chain, not two independent confirmations.

Same sector cost proxy as Innolight, applied only to Eoptolink's own existing advanced revenue and margins. Different existing adoption probabilities remain embedded once. Assembly demand and shares are unchanged.

Eligible fractions are bounded scenario assumptions, not origin certificates. U.S. corporate domicile and a U.S. listing do not prove manufacturing origin. If the final content definition excludes the modeled products, their eligible fraction goes to zero.

For component and integrated suppliers, the filtered revenue pool means 3.2T-linked sales plus incremental cross-generation pricing spillover from competition for common qualified capacity. It is not a claim that 800G/1.6T is directly regulated. Fractions are LOW-confidence exposure proxies, not verified geographic market shares.

Signal ledger field	Current treatment
Signal ID / date	FCC-OPTICS-20261001; Serenity/MS source chain
What is already included	All saved product growth, shortages, capacity, customer probabilities and contracts. The bridge adds only the explicitly calculated incremental economics.
Probability and timing	40% common policy scenario; price/cost intensity 0 before Q3 2027, 25% Q3 2027, 50% Q4 2027, 75% Q1 2028, 100% from Q2 2028. AAOI mix uses its own slot ramp.
Numerical contribution	Q4 2027 operating quarter: delta revenue 0.285745, delta consolidated OP -0.298174 (CNY millions). Forward-four-quarter valuation OP changes -4.981582.
Dependence	The policy probability is shared across companies. These are correlated portfolio exposures, not independent confirmations. Existing customer-conversion probabilities are already inside source revenue.
Raise weight	Rule/proposal scope supports qualifying content and timing; company product/foundry evidence improves; customer sourcing or like-for-like price negotiations support the incremental premium.
Reduce weight	Policy is delayed beyond the horizon, the content definition excludes products, supply eases, fixed contracts prevent repricing, unit costs absorb the premium, or 3.2T conversion slips.
Zero-contribution boundary	No broad TAM uplift, no new factory capacity, no OCS benefit and no blanket-ban recovery. AAOI receives no modeled units before 2028. MXL is assessed separately as a candidate.

Conditional inputs selected before calculating targets

Input	Value	Evidence status
3.2T share of advanced pool	50.00%	LOW-confidence analyst assumption; inherited cap where labeled
Affected qualifying-component COGS fraction	40.00%	LOW-confidence analyst assumption; inherited cap where labeled
Component unit-cost increase	5.00%	LOW-confidence analyst assumption; inherited cap where labeled
Component-cost increase passed to customers	50.00%	LOW-confidence analyst assumption; inherited cap where labeled

Incremental COGS and opex rates apply to incremental price revenue, not original product revenue or COGS. AAOI mix cost uses unit COGS separately. AXTI stranded COGS is a fraction of COGS attached to lost units. Chinese component-cost rates apply to affected reference COGS.

Timing is an analyst sensitivity. A deliberately labeled early-sourcing proxy ahead of a 2028 3.2T ramp. Earlier quarters receive zero incremental policy revenue. Full intensity begins Q2 2028 and remains an uncertain continuation through the saved forecast only. These dates are not announced orders or a published regulatory timetable. The probability sensitivity below includes a no-policy control; a later start would reduce the near-term contribution.

Incremental revenue, cost and profit

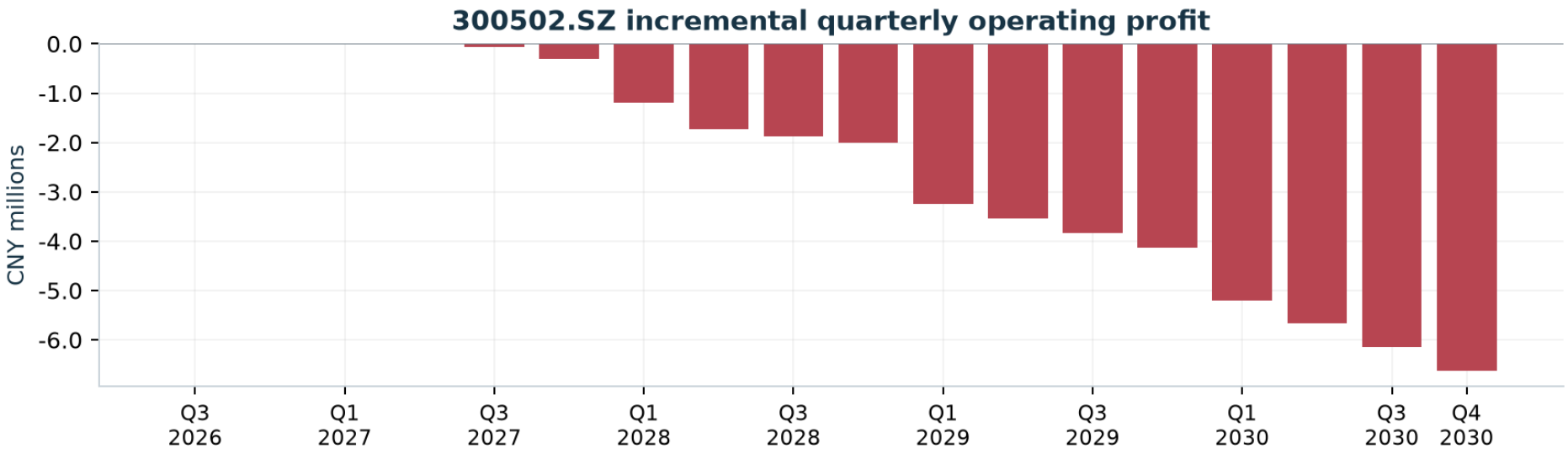


Figure 3. Incremental consolidated operating profit, CNY millions. Negative bars represent the net weighted adverse policy effect; baseline operations are unchanged.

Quarter	Delta revenue	Delta COGS	Delta gross profit	Delta opex	Delta OP
Q3 2026	0.0000	0.0000	0.0000	0.0000	0.0000
Q4 2026	0.0000	0.0000	0.0000	0.0000	0.0000
Q1 2027	0.0000	0.0000	0.0000	0.0000	0.0000
Q2 2027	0.0000	0.0000	0.0000	0.0000	0.0000
Q3 2027	0.0663	0.1327	-0.0663	0.0029	-0.0692
Q4 2027	0.2857	0.5715	-0.2857	0.0124	-0.2982
Q1 2028	1.1369	2.2737	-1.1369	0.0500	-1.1869
Q2 2028	1.6536	3.3073	-1.6536	0.0728	-1.7264
Q3 2028	1.7914	3.5829	-1.7914	0.0788	-1.8703
Q4 2028	1.9292	3.8585	-1.9292	0.0849	-2.0141
Q1 2029	3.1006	6.2011	-3.1006	0.1395	-3.2401

Quarter	Delta revenue	Delta COGS	Delta gross profit	Delta opex	Delta OP
Q2 2029	3.3824	6.7649	-3.3824	0.1522	-3.5347
Q3 2029	3.6643	7.3286	-3.6643	0.1649	-3.8292
Q4 2029	3.9462	7.8924	-3.9462	0.1776	-4.1238
Q1 2030	4.9719	9.9438	-4.9719	0.2287	-5.2006
Q2 2030	5.4239	10.8478	-5.4239	0.2495	-5.6734
Q3 2030	5.8759	11.7518	-5.8759	0.2703	-6.1462
Q4 2030	6.3279	12.6558	-6.3279	0.2911	-6.6190

Active-window product bridge

Product / event	Pre-policy operating pool	Filtered exposure	Weighted delta revenue	Weighted delta OP
Advanced-component costs and partial pass-through	539.1407	57.1489	0.2857	-0.2982

Filtered exposure is a scenario allocation, not verified U.S.-origin revenue. For cost cases the exposure is an affected cost pool; AAOI substitution units are explained in its separate bridge. All financial amounts use the company table units.

Business research and source evidence

The following sets out the company thesis, historical results, guidance, capacity, program probabilities, risks and original source images. Source dates remain visible. Operating assumptions below feed the complete current financial tables, including the explicit probability-weighted policy contribution.

1. Thesis, classification and score

Eoptolink designs and manufactures optical interconnect products for AI clusters, cloud datacenters and telecom networks. It competes through product design, silicon-photonics capabilities, packaging, yield, cost and qualified delivery. The demand shift is from rising 800G volumes to faster 1.6T adoption, with NPO joining later. Its low expense base and high gross margins can convert sales growth into operating profit, but optical demand alone does not secure the DSPs and lasers needed to ship.

The business is a qualified module beneficiary, not a sole-source component chokepoint. It has multiple architectures, including EML, silicon photonics, TFLN, LPO/LRO and advanced packaging. Management's latest September record says 800G/1.6T lead 2026 deliveries, with NPO deliveries beginning in 2027 and materially greater scale in 2028. The July record more specifically places NPO commercial ramping in H2 2027; the model uses that later start. A technology demonstration is not interchangeable with production revenue [S1,S4,S5].

Phase 1 AI networks support the live revenue model. Phase 2 optical switching, industrial/edge networks and coherent interconnects widen engineering reach, but disclosed customer economics are incomplete. Phase 3 ubiquitous optical compute can create demand over a longer period; it receives no separate sales allocation. This is a meaningful TAM expansion within networking, rather than proof of universal capture across all new markets. OCS is a watch item: management sees batch commercial demand from 2028, but no verified contract value supports adding a separate OCS revenue stream.

The current summing score is shown in the analytical Base chapter above.

2. Reported anchor and accounting controls

H1 and Q1 use consolidated CAS financial statements. Q2 below is arithmetic H1 minus Q1. Parent-company-only revenue is not used: it includes intra-group flows and is different from consolidated revenue. H1 total sales rose 100.34% year over year; parent net income rose 90.98%. FY25 consolidated revenue was 24,841.85 and parent profit 9,531.92 [S1-S3].

CNY M	Q1 2026 actual	Q2 2026 derived	H1 2026 actual
Revenue	8,337.90	12,571.84	20,909.75
Gross profit	4,098.99	6,029.63	10,128.63
R&D expense	119.91	320.08	439.99
Selling + administration	97.93	131.49	229.43
Taxes/surcharges + impairments	129.10	25.55	154.65
Core OP, derived	3,752.05	5,552.51	9,304.56
CAS operating profit	3,243.17	5,438.83	8,682.00
Parent net income	2,780.22	4,748.95	7,529.17
Operating cash flow	684.07	932.34	1,616.41

Core OP = revenue - COGS - R&D - selling - administration - business taxes/surcharges - net credit/asset impairments. All ordinary depreciation and stock compensation remain expenses. H1 core OP 9,304.56 - finance expense 644.11 + government/other income 17.64 + investment income 2.11 + fair-value gain 1.81 - disposal loss 0.01 = reported OP 8,682.00 (rounded). Net finance expense includes 744.07 of FX losses, partly offset by 102.06 interest income. The model excludes net finance/FX and investment gains; zero future FX impact is an assumption and does not erase the reported loss.

The Q2 profit acceleration was not solely a gross-margin surge. Gross margin declined from 49.16% in Q1 to 47.96% in Q2, while finance expense fell from 522.20 to 121.91. R&D expense rose from 119.91 to 320.08. H1 R&D is fully expensed; do not treat the Q1 R&D ratio as a permanent ceiling. The July Q&A attributes part of Q2 improvement to less FX drag and improved supply conversion [S1,S2,S5].

Optical-interconnect revenue 20,882.64 carried 48.46% GM in H1, versus 24,771.16 and 47.81% GM in FY25. H1 overseas optical revenue 20,460.00 divided by 9.73M overseas units gives CNY 2,102.78 per unit; FY25 overseas revenue 23,865.09 divided by 12.925984M overseas units gives CNY 1,846.29. Both calculations use matched geographic scope. Dividing total revenue by overseas-only units would be incorrect. No public speed-level quantity or ASP breakdown was located [S1,S3].

H1 CFO 1,616.41 less cash capex 1,263.84 leaves a simple 352.57 CFO-minus-capex proxy, far below net profit. Inventory rose to 11,655.39 from 7,234.33; receivables to 7,548.27 from 4,437.51; prepayments to 869.54 from 16.96. Cash was 7,240.07, including 55.96 restricted. The absence of large reported bank borrowings does not make inventory risk disappear. Some stock is accumulated ahead of expected orders; the report explicitly identifies demand forecasts failing to become orders as a risk [S1].

H1 total net income 7,566.31 included minority profit 37.15, or 0.49%. Thailand/Singapore operations have 92.22% group ownership [S1]. The model parent attribution is 99.0% in H2 2026, then 98.5/98.0/97.5/97.0% in 2027-30, a cautious assumed shift toward those operations. These are earnings-allocation proxies, not changing legal ownership percentages. Replace them when geography-level profitability permits a better bridge.

The June 11 capital reserve distribution added four shares for every ten, lifting issued shares to 1,394.256684M. Q1 published EPS 2.80/2.79 predates that adjustment; comparing it directly with H1 EPS 5.41/5.39 would mix share bases. The model uses 1,410M, a 1.13% reserve above verified issued capital for awards and measurement uncertainty. The planned H listing has no verified completed issuance in reviewed records; no proceeds or incremental earnings from it are assumed. Dilution sensitivity is mandatory until final terms are available.

3. China Data Packet and demand conversion

Variable	Best evidence and model use	Confidence
TAM	Framework DB1 global optical modules USD67.7B/131.4B/148.5B in 2026/27/28; dated GS estimates via Serenity. [S9,S10]	MEDIUM forecast
Demand	H1 optical sales + July/September order and supply commentary; customer names withheld. [S1,S4,S5]	HIGH actual; MEDIUM extrapolation
Margin	Optical GM 48.46%; Q2 expense/FX reconciliation. Speed margins not disclosed. [S1,S2]	HIGH actual; synthetic speed allocation
Timing	H2 2026 1.6T acceleration; NPO H2 2027 and larger 2028; OCS unquantified. [S4,S5]	MEDIUM timing; LOW size
Risk	Inventory funding, component allocation, related-party supplier, offshore expansion and proposed U.S. restrictions. [S1,S4,S8]	Five scored risk classes

The five largest FY25 customers were 72.34% of sales, with the largest 22.97%; names are anonymized. We do not assign them to specific hyperscalers. The AH-13 Plan-B extension of AH-12 uses a four-company capex basket as an industry demand proxy, calibrated to actual optical revenue. It is not evidence that each basket member purchases a fixed portion from Eoptolink.

USD B capex reference	CY2025 actual/rounded	CY2026 guide midpoint
Microsoft incl. finance leases	118.00	175.00
Amazon cash capex	128.30	220.00
Alphabet capex	91.40	200.00
Meta incl. lease principal	72.22	137.50

USD B capex reference	CY2025 actual/rounded	CY2026 guide midpoint
Total	409.92	732.50

Microsoft CY25 = 21.4 + 24.2 + 34.9 + 37.5. Its CY26 175B reflects lease reclassification as well as the spending plan. Aggregate accounting scopes differ and include non-optical assets. Current Amazon/Alphabet guide values are AP/Reuters accounts of their calls; Microsoft and Meta were checked in official releases/transcripts [S12-S19]. The customer identities and true optical wallet are not disclosed, so precise client-level AH-12 calibration is unavailable. This limitation lowers confidence; it is not filled with invented client sales.

Inherited reference assumptions. Calibration: 409.92B USD x 7.00 CNY/USD x 0.863275% effective capture = 24,771.16M FY25 optical sales, matching actual. Annual demand = forecast basket x FX7 x this coefficient x optical-content multiplier. A fit to one year does not validate the future coefficient independently. Content multipliers are 1.20/1.45/1.55/1.60/1.65 for 2026-30: smaller than Innolight's because Eoptolink's FY25 already contained a much stronger growth ramp, and the H1 2026 rate of expansion is different. Their exact values are assumptions, informed by the actual run rate and faster-speed demand, not company guidance.

Inherited reference assumptions. Each basket member grows by assumed 25% in 2027, 20% in 2028, 15% in 2029 and 12% in 2030. FX7 is a constant modeling convention. These later budgets have not been guided. A supplier's revenue does not rise dollar for dollar with hyperscaler capex; the coefficient includes wallet exposure, supplier share and recognition timing.

4. Quarterly revenue vectors and margin assumptions

Inherited reference assumptions. 2026 optical revenue locks H1 actual and allocates remaining modeled demand 48% to Q3 and 52% to Q4. Later annual demand is phased 22/24/26/28% across quarters. This is our factory/order-conversion schedule, not management's quantified quarterly guidance. V1 legacy, V2 800G and V3 1.6T are MEDIUM extrapolations through 2027 and LOW thereafter. V4 advanced optics is a LOW-size probability-weighted allocation with management-supported timing. V5 other businesses is the H1 residual at 5% annual growth, LOW.

Inherited reference assumptions. Operating taxes and ordinary impairments are 0.60% of revenue, in addition to R&D and SG&A. Depreciation and SBC remain included. GM by speed is synthetic because only optical aggregate GM is reported. Blended margin stays close to the disclosed optical economics rather than assuming a semiconductor-like margin leap. R&D ratios exceed H1's 2.10% and rise later as multiple architectures require engineering; production leverage is not modeled as endless expense-ratio decline.

Inherited reference assumptions. Mix audit, percentages of raw optical budget before probability weighting: Q3/Q4 2026 legacy/800G/1.6T/advanced = 10/57/33/0 and 10/52/38/0. In 2027, legacy = 9/8.5/8/7.5%; 800G = 48/45/42/38%; advanced = 0/0/2/4%; 1.6T is the residual. 2028 = 6/27/57/10%; 2029 = 4/21/59/16%; 2030 = 3/15/60/22%. Advanced conversion probabilities are 60% in 2027, 65% in 2028 and 70% thereafter. They apply exactly once; no unconverted advanced allocation is also booked as pluggable revenue. The advanced vector covers overlapping form factors rather than adding a separate full CPO market.

The GS ASP chart supplies an approximate feasibility check: 800G USD420/400/320 and 1.6T USD800/750/600 in 2026/27/28. At FX7 modeled volumes provide a feasibility check. These are not Eoptolink's quoted ASPs or confirmed orders; reach, laser platform and customer configuration matter.

Management describes Chengdu/Thailand expansion and automation but does not provide a verified quarterly sellable-unit capacity schedule. No fabricated capacity cap is inserted. The production bridge remains conditional on core-material allocations and yields. Company commentary indicates Q2 supply improved versus Q1 while some components remain tight; that is consistent with, not contradicted by, the user-supplied 2027 sector demand exceeding supply. The 90-100M demand per speed and 60-70M DSP estimate have different/unclear scope and are not interchangeable shipment forecasts [S4,S5,S11].

5. Valuation method and accounting convention

The replacement model chapter reports forecasts in CNY M. The Operating profit column is consolidated operating profit. The separate Valuation OP column applies the inherited parent-attribution proxy; only that column drives the ceiling. Q3 2026-Q4 2027 is MEDIUM; all 2028-30 rows are LOW. The next 12-16 months matter most; distant values are a mechanically complete trajectory, not high-certainty targets.

Each ceiling = sum of the four named quarterly parent core OP figures x 20 / 1,410M diluted shares. The opening quarter is included; Q2-Q4 2030 support the final live window. No excess cash is separately added and no transaction EV-to-equity claim is implied.

Cross-book shipment check; the policy case changes component costs and pass-through pricing, not these shipment allocations. 2029-30 has no newly invented TAM anchor; capex/capture extrapolation must be replaced by new evidence. For 2027, combined Innolight/Eoptolink model 800G shipments are approximately 31.70M and 1.6T approximately 21.42M, below the user-supplied sector demand range. This is a cross-book consistency check, not a claim that remaining demand can all be supplied. Coherent's PhotonLink SAM is overlapping competitive wallet and is not added to GS total modules.

Mechanical H-listing/award sensitivities are not predicted offering terms. The cash raised is intentionally not guessed. The 92.22% ownership of the offshore group is an attribution sensitivity, not a forecast that all earnings migrate offshore.

6. Cross-book and risks

Innolight is the closest portfolio comparison: both compete for high-speed optical customer wallets and scarce upstream materials. AAOI and Coherent can capture alternative qualified supply; MRVL/AVGO provide the DSP layer; LITE/COHR and prospective SIVE laser qualifications constrain or enable module delivery. A bottleneck at one layer can transfer margin away from assemblers. Neither the module volume headline nor the same customer capex should be counted repeatedly as independent diversification.

Reference policy treatment. The September 25 Senate sponsor announcement explicitly covers Eoptolink and Innolight, affiliates and relevant components/software in a proposed federal national-security procurement restriction. It describes a five-year transition and limited waivers [S8]. This is a proposal, not an enacted blanket ban on private hyperscaler purchases. Foreign assembly is not assumed to neutralize company-identity restrictions. No unsupported immediate sales loss is booked; customer sourcing shifts before implementation and wider follow-on measures remain material risks requiring a revenue-capture review.

The five scored classes are: (1) competition/architecture and mature-product pricing; (2) execution/working capital, including supply commitments, inventory obsolescence and offshore yields; (3) customer concentration and real capex cuts; (4) policy, procurement and FX; (5) governance/related-party supplier dependence. The September call identifies Hongchen Photonics as a supplier and refers investors to disclosed related-party transactions. It does not establish an owned captive laser fab, a verified laser capacity number or immunity from shortages. H-share dilution is additionally tracked within capital execution; issuing stock cannot be counted as free financing.

Micro-LED short-reach optical interconnects are a 2028+ architecture watch, not a reason to remove near-term 800G/1.6T demand from the model. The user-supplied USD848M 2030 micro-LED CPO forecast describes a narrow submarket. No OCS, micro-LED or new-company acquisition earnings are added without a contract/market-wallet bridge.

7. Probability ledger and pre-registered tests

Program / test	Current treatment	Next evidence and counter
800G/1.6T continuation	Actual H1 anchor; no second probability haircut on mature programs. Capture/mix remain estimates.	Q3 filing expected by end October: sales within 10% of modeled quarter, optical GM around current level, and conversion of stock to cash. GM <45% requires re-estimation.
H2 2027 NPO / advanced	60% x raw allocation; zero before Q3 2027.	Firm production order raises to 75%; repeated volume delivery to 90%. Delay of two quarters reduces to 35% and shifts the ramp.
2028 advanced	65% in 2028 and 70% later; scale LOW confidence.	Require shipment economics and customer acceptance, not a trade-show demo. OCS remains unmodeled without a separate non-overlapping wallet.
Cash / supply	Inventory and prepayments are inputs at risk, not backlog.	Next two reports: monitor inventory days, receivable collection, supplier deposits and impairment. Rising inventory with stalled sales cuts capture.
Hong Kong listing	No completed issuance assumed; 1410M diluted pool plus published sensitivity.	Final terms trigger immediate share-count, proceeds and earnings-use reconciliation. No automatic favorable rerating.
Policy and customer budgets	Explicit scored risk; no immediate broad-ban revenue subtraction.	Monitor bill scope, implementation, covered entities and actual customer reallocations. Real private-customer order loss changes revenue immediately.

8. Sources, limits and artifact memory

Source ranking follows the user's preference for Serenity as highest-priority market intelligence. Filings anchor financial facts; industry/social forecasts retain forecast status. The supplied GS and APAC excerpts are not independent confirmations of each other. Company size-specific ASPs, named-customer spend shares, quarterly capacity, NPO contract values and final H-listing terms remain unavailable. A comparable current Yahoo HIGH estimate was not reliably retrievable; none is fabricated. The calibrated Plan-B model is the disclosed substitute.

A company can have stronger volumes than the market assumed while still facing lower like-for-like ASPs, worse cash conversion or diluted ownership. Those three bridges are modeled separately. Subsequent source changes should replace the relevant assumption rather than layer a new TAM or probability factor over already counted revenue.

- **S1 | 2026-08-25:** H1 2026 report: pp.7-8,9-18,28-30,37-45,106-111,115,123-125.
- **S2 | 2026-04-24:** Q1 2026 report: consolidated statements pp.5-11.
- **S3 | 2026-04-24:** FY2025 annual report: pp.7-8,15-18 and audited financial statements.
- **S4 | 2026-09-11:** Company investor Q&A: full four-page record.
- **S5 | 2026-07-19:** Company investor Q&A: full five-page record.
- **S6 | 2026-06-10:** Board notice of proposed H-share listing; completion and terms uncertain.
- **S7 | 2026-09-28:** Investing.com historical close 399.70 CNY.

- **S8 | 2026-09-25:** Senate sponsor announcement of proposed transceiver restrictions.
- **S9 | 2026-09-08:** Serenity reporting GS optical TAM / ASP forecast; user-supplied source.
- **S10 | 2026-09-08:** Serenity GS ASP / CPO revision context and supplied chart.
- **S11 | 2026-09-25:** User-supplied P Equity / APAC conference screenshot; channel checks.
- **S12 | 2026-07-29:** Microsoft FY26 Q4 call: CY26 capex 175B, lease reclassification.
- **S13 | 2026-07-29:** Meta Q2 release: CY26 capex 130-145B.
- **S14 | 2026-07-22:** Reuters reporting Alphabet call: capex 195-205B; secondary transcript evidence.
- **S15 | 2026-07-30:** AP reporting Amazon call: 220B capex; secondary transcript evidence.
- **S16 | 2026:** Amazon 2025 annual report: cash capex 128.3B.
- **S17 | 2026-01:** Meta FY25 report: capex incl. lease principal 72.22B.
- **S18 | 2026:** Alphabet 2025 annual report, p.31: FY25 capex 91.4B.
- **S19 | 2025-04 to 2026-01:** Microsoft quarterly calls: CY25 capex 21.4 + 24.2 + 34.9 + 37.5 = 118.0B.
- **S20 | 2026-09-23:** Coherent PhotonLink: competing integration platform; not additive global TAM.
- **S21 | 2026-09-25:** Senate sponsor announcement: proposed optical-transceiver procurement restrictions.

Microsoft CY25 official quarterly calls: FY25 Q3 | FY25 Q4 | FY26 Q1.

Complete current operating model

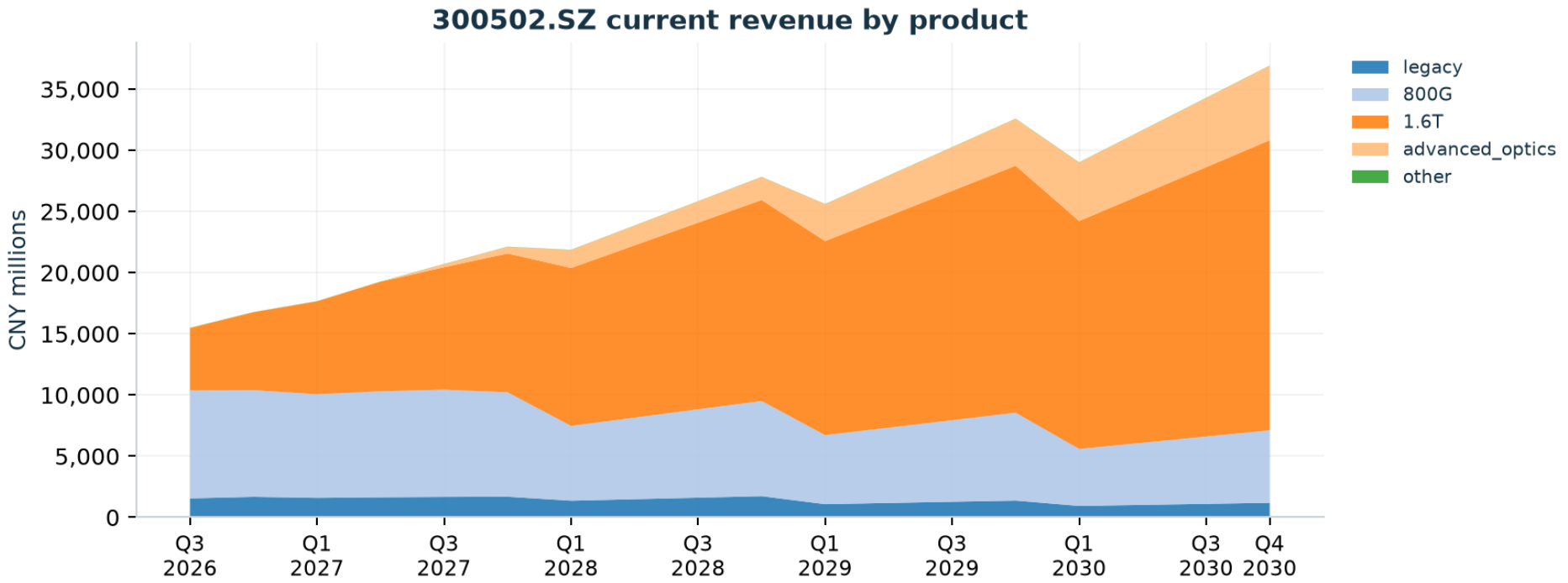


Figure 4. Current quarterly revenue by product, CNY millions. All inherited product vectors remain; AAOI alone adds a separately labeled substitution vector.

Quarter	Revenue	Gross profit	COGS
Q3 2026	15,486.192	7,445.536	8,040.656
Q4 2026	16,775.579	8,090.745	8,684.834
Q1 2027	17,664.669	8,420.710	9,243.959
Q2 2027	19,269.254	9,234.876	10,034.378
Q3 2027	20,707.029	9,957.868	10,749.161
Q4 2027	22,119.283	10,683.723	11,435.560
Q1 2028	21,864.887	10,339.258	11,525.629
Q2 2028	23,851.659	11,278.302	12,573.357

Quarter	Revenue	Gross profit	COGS
Q3 2028	25,838.052	12,217.725	13,620.327
Q4 2028	27,824.445	13,157.147	14,667.298
Q1 2029	25,606.033	11,849.123	13,756.910
Q2 2029	27,932.428	12,925.817	15,006.611
Q3 2029	30,258.823	14,002.511	16,256.312
Q4 2029	32,585.218	15,079.205	17,506.014
Q1 2030	29,015.932	13,182.420	15,833.512
Q2 2030	31,652.246	14,380.297	17,271.948
Q3 2030	34,288.560	15,578.175	18,710.385
Q4 2030	36,924.875	16,776.053	20,148.822

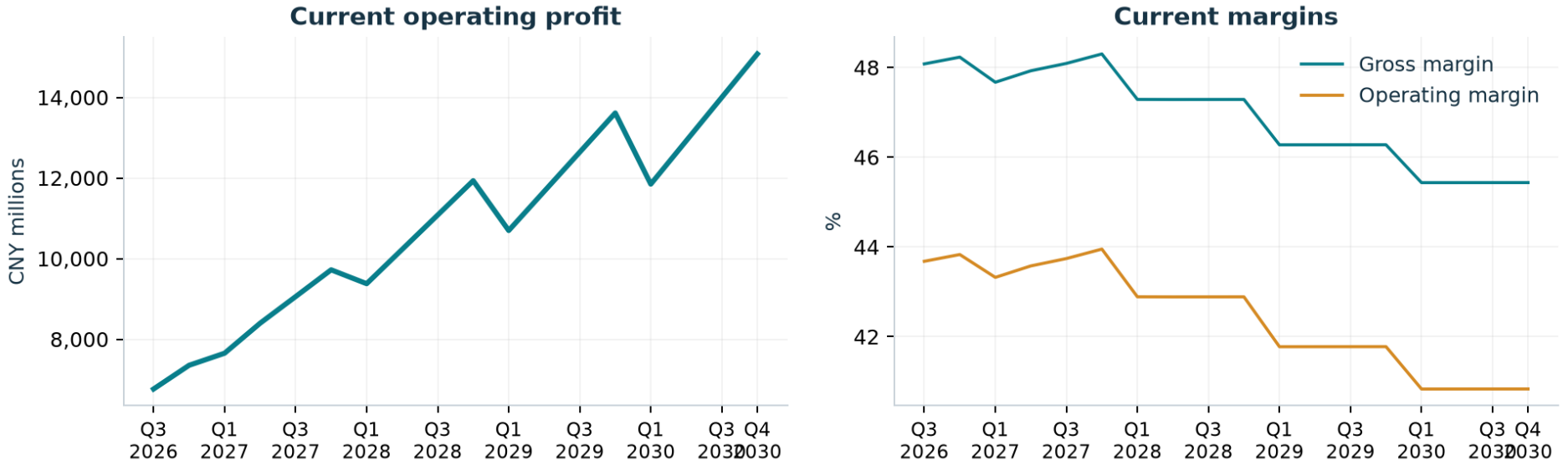


Figure 5. Current operating profit and margins. Operating profit is consolidated CNY millions; the valuation uses parent-economic OP only where the inherited method already requires it.

Quarter	Revenue	Gross margin	Opex	Operating profit	OP margin	Valuation OP
Q3 2026	15,486.192	48.08%	681.392	6,764.143	43.68%	6,696.502
Q4 2026	16,775.579	48.23%	738.125	7,352.619	43.83%	7,279.093
Q1 2027	17,664.669	47.67%	768.413	7,652.296	43.32%	7,537.512
Q2 2027	19,269.254	47.93%	838.213	8,396.664	43.58%	8,270.714
Q3 2027	20,707.029	48.09%	900.756	9,057.112	43.74%	8,921.256
Q4 2027	22,119.283	48.30%	962.189	9,721.535	43.95%	9,575.712
Q1 2028	21,864.887	47.29%	962.055	9,377.203	42.89%	9,189.659
Q2 2028	23,851.659	47.29%	1,049.473	10,228.829	42.89%	10,024.252
Q3 2028	25,838.052	47.29%	1,136.874	11,080.850	42.89%	10,859.233
Q4 2028	27,824.445	47.29%	1,224.276	11,932.872	42.89%	11,694.214
Q1 2029	25,606.033	46.27%	1,152.272	10,696.852	41.77%	10,429.430
Q2 2029	27,932.428	46.28%	1,256.959	11,668.858	41.78%	11,377.136
Q3 2029	30,258.823	46.28%	1,361.647	12,640.864	41.78%	12,324.842
Q4 2029	32,585.218	46.28%	1,466.335	13,612.870	41.78%	13,272.548
Q1 2030	29,015.932	45.43%	1,334.733	11,847.687	40.83%	11,492.256
Q2 2030	31,652.246	45.43%	1,456.003	12,924.294	40.83%	12,536.565
Q3 2030	34,288.560	45.43%	1,577.274	14,000.901	40.83%	13,580.874
Q4 2030	36,924.875	45.43%	1,698.544	15,077.509	40.83%	14,625.183

Every revenue vector and product margin

Product GP = product revenue x the displayed modeled margin. Consolidated gross profit adds the unchanged source-model adjustment where applicable (including Sivers Glasgow depreciation). Product allocations and future margins remain LOW-confidence model assumptions unless specifically identified as historical or guided.

legacy

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	1,547.264	30.00%	464.179
Q4 2026	1,676.203	30.00%	502.861
Q1 2027	1,588.539	28.00%	444.791
Q2 2027	1,636.677	28.00%	458.270
Q3 2027	1,668.769	28.00%	467.255
Q4 2027	1,684.815	28.00%	471.748
Q1 2028	1,358.475	26.00%	353.204
Q2 2028	1,481.973	26.00%	385.313
Q3 2028	1,605.471	26.00%	417.422
Q4 2028	1,728.968	26.00%	449.532
Q1 2029	1,075.094	25.00%	268.774
Q2 2029	1,172.830	25.00%	293.208
Q3 2029	1,270.566	25.00%	317.641
Q4 2029	1,368.302	25.00%	342.075
Q1 2030	931.300	24.00%	223.512
Q2 2030	1,015.964	24.00%	243.831
Q3 2030	1,100.628	24.00%	264.151
Q4 2030	1,185.291	24.00%	284.470

800G

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	8,819.404	49.00%	4,321.508
Q4 2026	8,716.253	49.00%	4,270.964
Q1 2027	8,472.210	47.50%	4,024.300
Q2 2027	8,664.760	47.50%	4,115.761
Q3 2027	8,761.036	47.50%	4,161.492
Q4 2027	8,536.394	47.50%	4,054.787
Q1 2028	6,113.138	45.00%	2,750.912
Q2 2028	6,668.878	45.00%	3,000.995
Q3 2028	7,224.618	45.00%	3,251.078
Q4 2028	7,780.357	45.00%	3,501.161
Q1 2029	5,644.245	43.00%	2,427.025
Q2 2029	6,157.358	43.00%	2,647.664
Q3 2029	6,670.471	43.00%	2,868.303
Q4 2029	7,183.584	43.00%	3,088.941
Q1 2030	4,656.502	41.00%	1,909.166
Q2 2030	5,079.820	41.00%	2,082.726
Q3 2030	5,503.139	41.00%	2,256.287
Q4 2030	5,926.457	41.00%	2,429.847

1.6T

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	5,105.971	52.00%	2,655.105
Q4 2026	6,369.570	52.00%	3,312.176
Q1 2027	7,589.688	52.00%	3,946.638
Q2 2027	8,953.586	52.00%	4,655.865
Q3 2027	10,012.612	52.00%	5,206.558
Q4 2027	11,344.418	52.00%	5,899.097
Q1 2028	12,905.513	50.50%	6,517.284
Q2 2028	14,078.742	50.50%	7,109.765
Q3 2028	15,251.970	50.50%	7,702.245
Q4 2028	16,425.199	50.50%	8,294.725
Q1 2029	15,857.640	48.50%	7,690.956
Q2 2029	17,299.244	48.50%	8,390.133
Q3 2029	18,740.848	48.50%	9,089.311
Q4 2029	20,182.451	48.50%	9,788.489
Q1 2030	18,626.008	47.00%	8,754.224
Q2 2030	20,319.282	47.00%	9,550.062
Q3 2030	22,012.555	47.00%	10,345.901
Q4 2030	23,705.828	47.00%	11,141.739

advanced_optics

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	0.000	47.00%	0.000
Q4 2026	0.000	47.00%	0.000
Q1 2027	0.000	47.00%	0.000
Q2 2027	0.000	47.00%	0.000
Q3 2027	250.382	46.96%	117.582
Q4 2027	539.426	46.92%	253.110
Q1 2028	1,472.818	48.39%	712.629
Q2 2028	1,607.124	48.35%	777.000
Q3 2028	1,741.051	48.35%	841.750
Q4 2028	1,874.978	48.35%	906.500
Q1 2029	3,013.365	48.35%	1,456.877
Q2 2029	3,287.307	48.35%	1,589.321
Q3 2029	3,561.249	48.35%	1,721.764
Q4 2029	3,835.191	48.35%	1,854.208
Q1 2030	4,785.647	47.85%	2,289.752
Q2 2030	5,220.706	47.85%	2,497.912
Q3 2030	5,655.765	47.85%	2,706.071
Q4 2030	6,090.824	47.85%	2,914.230

other

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	13.553	35.00%	4.744
Q4 2026	13.553	35.00%	4.744
Q1 2027	14.231	35.00%	4.981
Q2 2027	14.231	35.00%	4.981
Q3 2027	14.231	35.00%	4.981
Q4 2027	14.231	35.00%	4.981
Q1 2028	14.942	35.00%	5.230
Q2 2028	14.942	35.00%	5.230
Q3 2028	14.942	35.00%	5.230
Q4 2028	14.942	35.00%	5.230
Q1 2029	15.689	35.00%	5.491
Q2 2029	15.689	35.00%	5.491
Q3 2029	15.689	35.00%	5.491
Q4 2029	15.689	35.00%	5.491
Q1 2030	16.474	35.00%	5.766
Q2 2030	16.474	35.00%	5.766
Q3 2030	16.474	35.00%	5.766
Q4 2030	16.474	35.00%	5.766

Full ceiling derivation

Valuation OP equals consolidated OP except where the saved model allocates economics to parent shareholders. The current model adds ownership x incremental OP to the saved parent-economic OP. Existing parent-only expenses and senior claims remain deducted as before. For every ceiling, sum that quarter and its next three quarters, multiply by the sanctioned multiple and currency/unit factor, and divide by the saved quarter-specific share denominator. No stock-price-dependent upside or ranking appears in this artifact.

Ceiling quarter / window	F4Q valuation OP	Multiple	Shares M	FX / unit factor	Ceiling
Q3 2026 to Q2 2027	29,783.820494	20x	1,410.000000	1.000000	422.465539
Q4 2026 to Q3 2027	32,008.574290	20x	1,410.000000	1.000000	454.022330
Q1 2027 to Q4 2027	34,305.192828	20x	1,410.000000	1.000000	486.598480
Q2 2027 to Q1 2028	35,957.339882	20x	1,410.000000	1.000000	510.033190
Q3 2027 to Q2 2028	37,710.878569	20x	1,410.000000	1.000000	534.906079
Q4 2027 to Q3 2028	39,648.856261	20x	1,410.000000	1.000000	562.395124
Q1 2028 to Q4 2028	41,767.358886	20x	1,410.000000	1.000000	592.444807
Q2 2028 to Q1 2029	43,007.130159	20x	1,410.000000	1.000000	610.030215
Q3 2028 to Q2 2029	44,360.014084	20x	1,410.000000	1.000000	629.220058
Q4 2028 to Q3 2029	45,825.622941	20x	1,410.000000	1.000000	650.008836
Q1 2029 to Q4 2029	47,403.956730	20x	1,410.000000	1.000000	672.396549
Q2 2029 to Q1 2030	48,466.782767	20x	1,410.000000	1.000000	687.472096
Q3 2029 to Q2 2030	49,626.211883	20x	1,410.000000	1.000000	703.917899
Q4 2029 to Q3 2030	50,882.244077	20x	1,410.000000	1.000000	721.733959
Q1 2030 to Q4 2030	52,234.879348	20x	1,410.000000	1.000000	740.920274

Q4 2027 worked example: (9,575.711596 + 9,189.659082 + 10,024.252315 + 10,859.233268) x 20 x 1 / 1410.000000 = **562.395124 CNY/share**.

Annual cross-check

Calendar-year sums below include only the quarters in the saved model. Partial years are labeled. These are not additional revenue, a horizon roll, or new management guidance.

Calendar year	Coverage	Revenue	Gross profit	Operating profit	OP margin
2026	2 quarters	32,261.771	15,536.280	14,116.762	43.76%
2027	4 quarters	79,760.234	38,297.177	34,827.607	43.67%
2028	4 quarters	99,379.042	46,992.432	42,619.754	42.89%
2029	4 quarters	116,382.503	53,856.655	48,619.443	41.78%

Calendar year	Coverage	Revenue	Gross profit	Operating profit	OP margin
2030	4 quarters	131,881.613	59,916.945	53,850.391	40.83%

Probability and dilution sensitivity

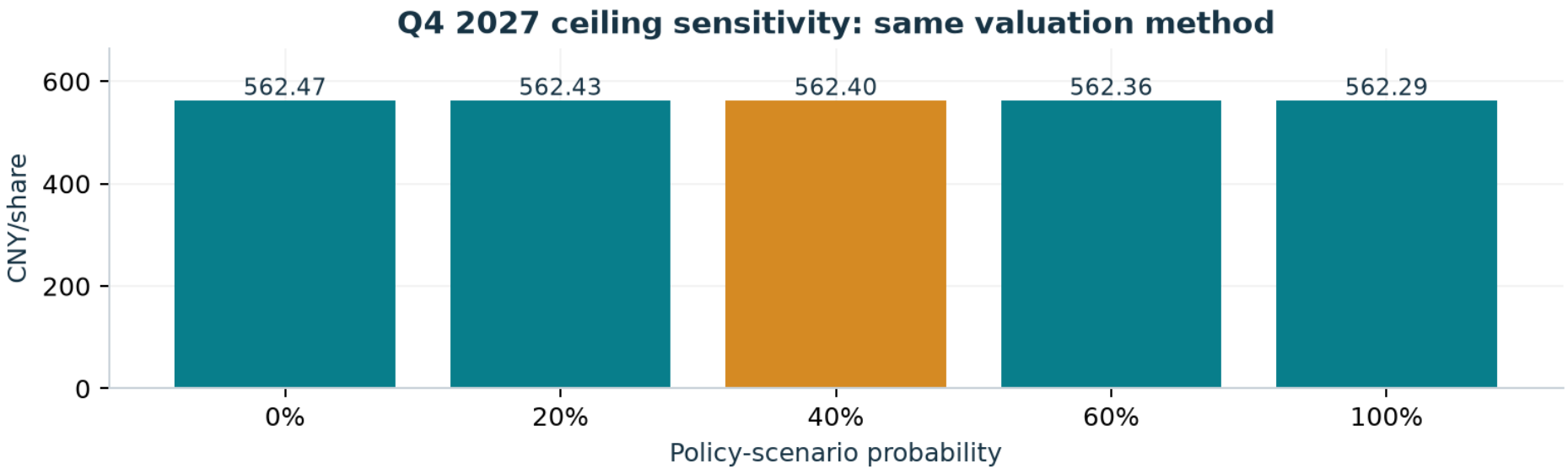


Figure 6. Q4 2027 ceiling under alternative policy probabilities. Gold is the selected 40% weight. All company valuation methods, operating reference inputs and shares remain unchanged.

Policy probability	Q4 2027 ceiling	Change from zero-policy sensitivity
0%	562.4658	0.000%
20%	562.4305	-0.006%
40%	562.3951	-0.013%
60%	562.3598	-0.019%
100%	562.2891	-0.031%

Additional diluted shares	Q4 2027 Ceiling	Interpretation
0%	562.3951	Same operating case; denominator sensitivity only

Additional diluted shares	Q4 2027 Ceiling	Interpretation
5%	535.6144	Same operating case; denominator sensitivity only
10%	511.2683	Same operating case; denominator sensitivity only

The 40% weight is a judgment about the incremental policy economics and timing, not a statistical certainty. Because the nine companies share the same policy event, these increments should not be treated as nine independent sources of portfolio diversification. The next 12-16 months have the highest forecasting relevance; later continuation assumptions are progressively less reliable.

Validation and next evidence

This current artifact and the master model use the same selected 40% policy case. Existing company valuation methods, quarter conventions, ownership and dilution schedules are retained. Every existing portfolio Excel Base is protected; the analytical score above is assessed separately.

The incremental ledger exposes revenue, production costs, gross profit and operating expense. A zero-policy sensitivity removes only that ledger's contribution. It is a diagnostic control, not a competing active forecast. Reported facts and dated guidance retain their original dates; new pricing, exposure, costs and timing are labeled analyst assumptions.

The most useful next evidence is the proposed content definition, product-specific fabrication and assembly routes, contract repricing rights, delivered 3.2T qualification, accepted component premiums and unit-cost/yield data. Those observations can raise or lower the inputs and their probability; official confirmation is not a prerequisite for modeling this credible breadcrumb.

Current model: **300502_SZ_Q_Model** in **v3_2_master_portfolio.xlsx**. The full quarterly model includes all original product vectors and the approved incremental operating bridge. Approval snapshots and change history are retained externally rather than as competing current forecasts.